IWM RUSSELL 2000 SCANNER

SCAN (17:03 ET)

May 18, 2026 | 05:05 PM ET

4 setups identified | 0 A-Grade | 2 B-Grade | 2 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (2)
	KGS	SLNO
	SDRL	VCYT

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	KGS	Kodiak Gas Servi	Energy Infrastruc	$75.78	+3.1%	$6.7B	88M	+42.2	99%	KGS is breaking out to
B	SDRL	Seadrill Limited	Offshore Drilling	$54.80	+4.0%	$3.4B	58M	+17.2	99%	SDRL is pressing again
C	SLNO	Soleno Therapeut	Rare Disease Biot	$53.01	+0.0%	$2.8B	52M	+29.8	59%	
C	VCYT	Veracyte, Inc.	Genomic Cancer Di	$41.50	+7.8%	$3.3B	79M	+5.4	82%	

KGS

Kodiak Gas Services, Inc.

$75.78

+3.12%

RS vs SPY: +42.2%

B STRONG SETUP

$6.7B Cap | 88M Float

Oil & Gas Equipment & Services | Theme: Energy Infrastructure Services | 52W Hi: 99% | Base Tight: 2.62 | Vol: 2.01x | RS/SPY: +42.2% | Above 20MA: YES | EARNINGS I

SETUP METRICS

Price	**$75.78**
Day Change	**+3.12%**
Mkt Cap	**$6.73B**
Float	**88M sh**
RS vs SPY	**+42.2%**
52W Hi Prox	**99%**
Base Tight	**2.62**
Vol vs Avg	**2.01x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

KGS is breaking out to a virtual 52-week high (~99% prox) on strong sector rotation into Energy (+8.4% vs SPY leading sector this week), with the stock benefiting from tight natural gas compression market dynamics and rising contract utilization rates. The key forward catalyst is the Q2 2026 earnings print on August 5, which will test whether compression utilization and day-rate pricing strength are flowing through to EBITDA margin expansion - a beat-and-raise could be the event that clears the $76.68 all-time high and accelerates institutional positioning.

BUSINESS & POSITION

Kodiak Gas Services is the largest independent provider of contract compression services in the U.S., operating a fleet of natural gas compression equipment critical to midstream and upstream producers across the Permian, Haynesville, and Eagle Ford basins. Its scale advantages and long-term take-or-pay contracts provide durable cash flow visibility that supports a premium multiple versus smaller peers.

FACTOR & THEME

Directly exposed to the U.S. natural gas infrastructure buildout secular theme, with Permian gas volumes rising structurally to feed LNG export facilities - a multi-year demand tailwind. Energy sector momentum is accelerating this week (+8.4% vs SPY) and the compression services niche is supply-constrained, giving KGS pricing power that peers cannot easily replicate.

BREAKOUT SIGNAL

Close above $76.68 (52-week high) on volume >200% of 20-day average

INSTITUTIONAL

Institutional ownership data is not available from this feed - recommend cross-referencing 13F filings for current holder concentration. No insider open-market buys recorded in the last 60 days (insider_count = 0); no 12-month insider buy data provided to extend the window. Volume today at 2.01x average is consistent with institutional sector rotation buying rather than retail FOMO, given the name's $6.7B market cap and Energy-sector ETF inclusion dynamics. No A/D rating or silent-build flag provided in this data feed.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings August 5 (EARNINGS IN 79D). No consensus EPS/revenue data provided in this feed. KGS has historically delivered steady EBITDA beats driven by high fleet utilization; investors should monitor Q1 2026 results' commentary on contract renewal pricing and incremental horsepower deployment as leading indicators for the August print.

KEY RISK

Thesis invalid on a daily close back below $72.50 (the base support zone and approximate 20-day MA confluence), or on any meaningful deterioration in natural gas spot prices below $2.50/MMBtu that signals demand destruction for compression services; base_tight of 2.62 is wider than ideal VCP criteria, meaning the base is not textbook-coiled and a failed breakout above $76.68 all-time high would expose the position to a swift mean-reversion.

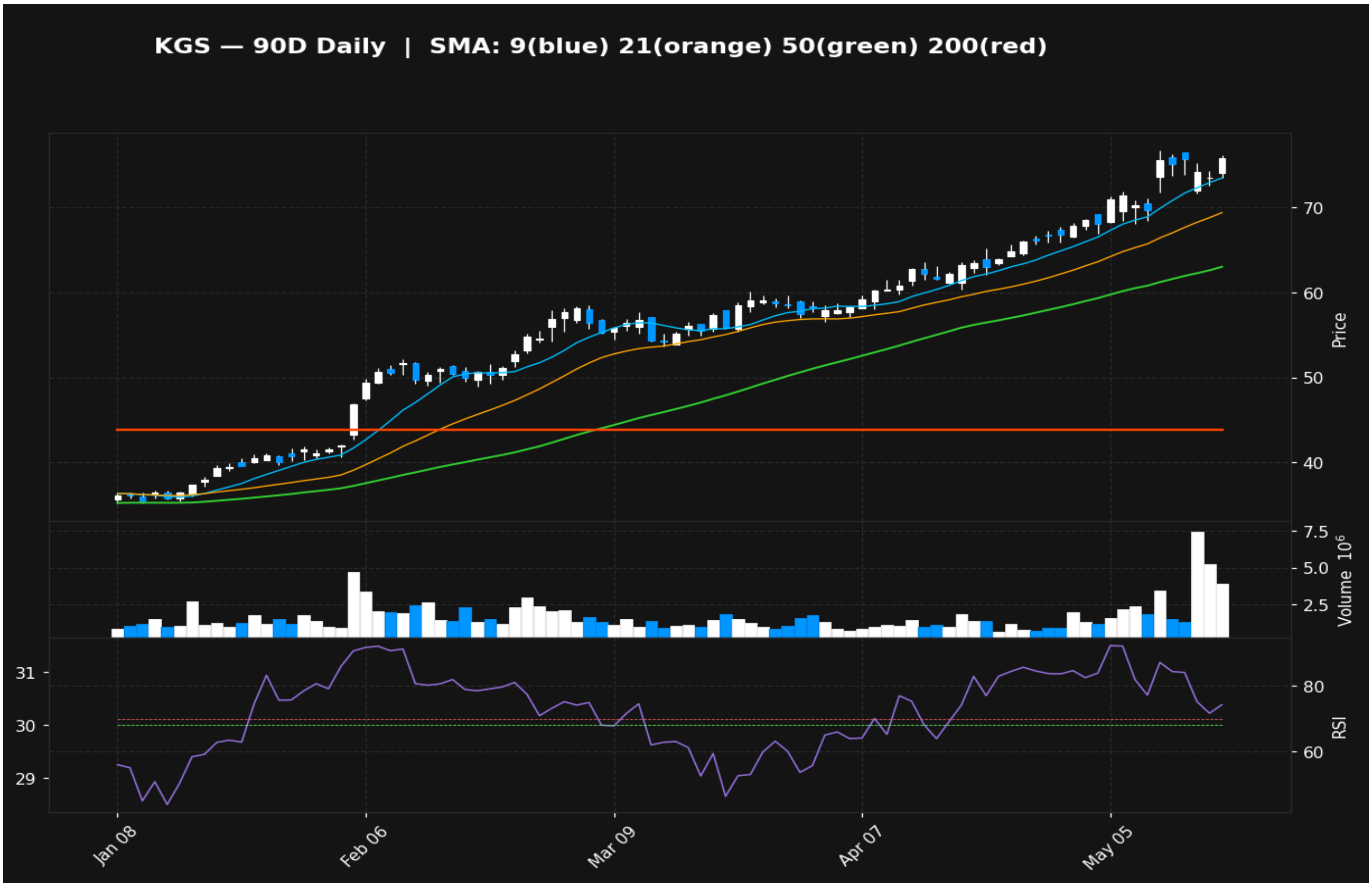
ANALYSIS

The strongest disconfirming evidence is that rs_line_new_high is false - despite the stock being within 1.2% of its 52-week high and posting exceptional 42.2% outperformance vs SPY over 12 weeks, the RS line has not confirmed a new high, which under Qullamaggie's framework is the #1 early-leader signal and its absence reduces breakout conviction materially. Additionally, the base_tight of 2.62 is above the 2.0 VCP threshold, meaning supply has not been fully absorbed - this is a momentum extension rather than a textbook coil breakout. Bull case is real: near-ATH price, best-in-class rs_vs_spy at 42.2, leading Energy sector, and a durable contracted-revenue business with no near-term binary risk. The setup earns a B with a clear upgrade path to A if the RS line confirms on or after the 52-week high breach. Conviction: Medium.

Signal: Close above $76.68 (52-week high) on volume >200% of 20

Vol vs Avg: 2.01x

KGS - Technical Chart



SDRL

Seadrill Limited

$54.80

+3.98%

RS vs SPY: +17.2%

B STRONG SETUP

$3.4B Cap | 58M Float

Oil & Gas Drilling | Theme: Offshore Drilling Cycle | 52W Hi: 99% | Base Tight: 4.75 | Vol: 1.89x | RS/SPY: +17.2% | Above 20MA: YES | EARNINGS IN 79D

SETUP METRICS

Price	**$54.80**
Day Change	**+3.98%**
Mkt Cap	**$3.43B**
Float	**58M sh**
RS vs SPY	**+17.2%**
52W Hi Prox	**99%**
Base Tight	**4.75**
Vol vs Avg	**1.89x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

SDRL is pressing against its 52-week high (99.3% prox, ATH $55.17) on above-average volume as Energy sector momentum accelerates this week, driven by rising ultra-deepwater day-rate expectations and tightening floater supply globally. The forward catalyst path centers on the August 5 earnings print, where contract backlog growth and day-rate rollover pricing on expiring legacy contracts could trigger a material upward re-rating - the offshore drilling cycle remains early-to-mid innings with Petrobras, Equinor, and major IOC tender awards expected in H2 2026.

BUSINESS & POSITION

Seadrill is a leading international offshore drilling contractor operating a fleet of ultra-deepwater drillships and harsh-environment semi-submersibles serving major national and international oil companies. Having emerged from bankruptcy restructuring with a cleaner balance sheet, the company is now levered to the offshore rig cycle recovery where day rates for 7th-generation drillships have risen from ~$300K to $500K+ per day.

FACTOR & THEME

Exposed to the global deepwater capex recovery secular theme as IOCs and NOCs pursue energy security through offshore basins - Guyana, Brazil pre-salt, West Africa, and the Norwegian Continental Shelf are multi-year demand drivers. Energy sector leadership this week (+8.4% vs SPY) provides immediate tailwind, and supply constraints from limited new drillship construction mean the pricing cycle has significant duration.

BREAKOUT SIGNAL

Close above $55.17 (52-week high) on volume >190% of 20-day average

INSTITUTIONAL

Institutional ownership data is not available from this feed - recommend cross-referencing 13F filings, particularly for hedge fund ownership given SDRL's restructured equity which often attracts special-situation and energy-focused funds. No insider open-market buys in the last 60 days (insider_count = 0). Volume at 1.89x average on a near-ATH close with a $3.4B market cap and 57.5M float suggests institutional participation, but the base_tight of 4.75 - the widest in this scan - indicates significant price volatility and less controlled accumulation than a clean institutional setup. No A/D rating or accumulation/distribution bar data provided.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings August 5 (EARNINGS IN 79D). No consensus EPS/revenue data provided in this feed. Day-rate disclosures and backlog updates in upcoming fleet status reports (typically released quarterly) are the most important leading indicators; any contract award announcement between now and August would be a pre-earnings catalyst.

KEY RISK

Thesis invalid on a daily close back below $51.00 (approximate base support and 20-day MA area), or on any weakening in ultra-deepwater day-rate fixtures below $420K/day signaling demand softness; the base_tight of 4.75 is the most problematic technical feature in this scan - this stock has NOT been coiling, it has been volatile, and a breakout from a loose/wide base fails at a materially higher historical rate than a VCP setup.

ANALYSIS

The most significant disconfirming evidence is the base_tight of 4.75, which is nearly 2x the maximum threshold for a quality VCP setup - this stock has been volatile rather than coiling, and breakouts from wide, loose bases historically resolve with high failure rates. Furthermore, rs_line_new_high is false despite a near-ATH price, and the rs_vs_spy of 17.2, while positive, is a fraction of KGS's 42.2 - the relative strength case is less compelling. The bull case rests on a genuine offshore cycle inflection, thin float, near-ATH price action, and leading Energy sector exposure. At current, this is a B setup that requires the $55.17 52-week high to be cleared on heavy volume with RS line confirmation before it earns follow-through conviction. Conviction: Medium.

Signal: Close above $55.17 (52-week high) on volume >190% of 20

Vol vs Avg: 1.89x

SDRL - Technical Chart